The stock moved sideways for about 4 months and then dropped again. It reached a low of 25.43 in mid-December and headed back up. Joe covered his short position at 27, just a week after it made a new low. On the trade, Joe made almost $9,000, or about 25%, on his 1,000 shares in about a year.

Did Joe trade this stock properly? Originally, he wanted to wait for the stock to reach his launch price, about 30, but then lowered his target. In other words, he veered away from his trading plan. Doing that can create bad habits which might lead to a big loss.

If his trading plan allowed him to reconsider additional evidence for a continued hold, then he was fine deviating. However, he could have entered additional trades during the 4 months when the stock moved sideways. Instead he held on in the hope that price would continue lower. That's risky for a short position.